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Healthy financial habits in young adults: An exploratory study of the relationship between subjective financial literacy, engagement with finances, and financial decision-making

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Abstract

This paper provides insights into young adults' financial habits and decision-making considerations as they enter the workforce. We use 28 semi-structured interviews with Australian university graduates to explore how their motivation to engage with personal finances and their subjective financial literacy, i.e., self-reported, support healthy financial habits. Our findings show that a young adult's social context and exposure to financial hardship rather than their financial confidence determine the health of their financial habits. We observed research participants in a romantic partnership as more focused on their future. This future focus motivates them to engage more with their finances and manifests as explicit goal setting, formal budgeting, or adherence to strict bucket systems. These insights might be useful for policymakers and educators: social context matters when designing financial health interventions, while financial education programs predominately should aim at demystifying complex long-term financial decision-making such as investments and retirement.

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KEYWORDS
behavior change, financial behavior, financial habits, financial literacy, financial socialization, savings and investment behavior

"*We are what we repeatedly do*."
- Will Durant

1 | INTRODUCTION

Just as sound consumption improves people's physical health, healthy financial habits can affect individuals' mental health and well-being (Shim et al., 2009; Barbić et al., 2019). In particular, young adults need to be more financially capable, as they face increased non-discretionary expenditure on health care and education coupled with rising housing unaffordability. For example, in Australia saving for a 20% home loan deposit takes up to ten years for a typical dwelling for an average household (Daley & Coates, 2018). In this article, we examine the relationships between financial habits and financial decision making with a particular focus on engagement with personal finances and subjective financial literacy. We distinguish financial habits from financial decision-making as a distinct form of financial behavior. This classification allows us to focus on habits – a "*pattern of actions over time such as earning*, *saving*, *spending*, *and gifting*" (Gudmunson & Danes, 2011: 650). We are less concerned with the second type of financial decision types that are more event-like in nature – for instance, entering a mortgage contract or opening an investment account.

Patterns of financial behavior or "financial habits" are likely to have ongoing and often unconscious effects on an individual's financial health. Our research is particularly interested in how these financial habits form as young people transition to the full-time workforce. In the field of psychology, habits are defined as "*cue-response associations in memory that are acquired slowly through repetition of an action in a stable circumstance*" (Orbell & Verplanken, 2010; Gardner, 2015; Wood & Rünger, 2016; as cited in Verplanken, 2018: 14). Evans and Stanovich (2013) classify habits as a category of *System 1 thinking*, defined broadly as cognitive processing that makes minimal demands on working memory. In contrast, *System 2* thinking draws on executive functions slowing down the faster, default, *System 1* response. Habits are automated processes that are cue prompted and require minimal cognitive load. As such, they exhibit two defining features: goal independence and context dependence. Established habits will occur regardless of an individual's pursuit of a specific goal if a cue arises in a stable setting. It follows that if you remove the stable setting, individuals will revert to goal setting, and a shift in habits can occur (Neal et al., 2011). Similar to Czar et al. (2021) who investigate financial capability in young adults as they leave home, we are interested in gaining a more in-depth understanding of the altered cue context that transitioning into the workforce offers to understand habit formation in young adults. The transition into the workforce is a key life milestone. Access to greater and more stable income offers greater financial stability but can also promote poor spending habits.

Because habits are largely automated, it is unclear whether cognitive interventions such as financial education affect these potentially important spending patterns. One strand of the

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literature proposes a need for financial education to improve financial behavior (see e.g., de Bassa Scheresberg, 2013; Henager & Cude, 2016; Xiao et al., 2011). Yet, there is growing evidence that financial education may not improve financial behavior (see e.g., Fernandes et al., 2014; Mandell & Klein, 2009; Santini et al., 2019; Stolper & Walter, 2017). Understanding how habits form may help explain this paradox. Specifically, we use the Ajzen and Fishbein (2005) Theory of Planned Behavior (TPB) and the conceptual framework of family financial socialization (FFS) (Gudmunson & Danes, 2011) - two widely applied theoretical concepts in the financial behavior literature - to examine these determinants of financial behavior.

Perhaps the most striking finding in our research was the association between participants who had a committed romantic relationship (i.e., a "life partner") and reported long-medium term spending and saving behaviors. In retrospect, this is quite logical given the change in time horizon associated with planning a family and building a life with another person. The salience of large-scale savings for a home purchase and child-rearing would clearly influence people to consider their spending in a different light. In contrast, those still single were more likely to focus on shorter-term goals, such as a holiday, visa applications or further education. If they were saving for other purposes, it was more about a moderate "rainy day" fund for emergency use, which most reported they had done. This finding supports the dynamic nature of family financial socialization as a major influence on financial behavior (Danes, 1994; Shim et al., 2009).

We also find that our measure of financial literacy does not appear to play a major role in day-to-day engagement with finances for the young adults who participated in this research.[1] Instead, we find that motivation rather than literacy is the primary driver of engagement with finances in this cohort. Subjective financial literacy appears more relevant to event-like financial transactions that require considered reasoning, for instance, engaging in a new investment vehicle (e.g., entering the stock market). Tailoring a life-cycle, just-in-time approach to promote healthy financial habits would appear to be an initiative that might allow young people to access the knowledge they need when motivated to use it (Fernandes et al., 2014). Yet, there might be a role for financial education courses offered at high school or university to raise general financial awareness. The narrow framing of just-in-time education or interventions, such as initiatives targeted at young adults who have moved out of home (Czar et al., 2021), may be "*too late to educate oneself in financial literacy*" (Gerrans, 2021) ignoring the effects that financial education may have on "*long-term behavior with less timely feedback*" (Wagner & Walstad, 2019).

Our paper offers interesting and relevant insights for policymakers interested in promoting consumers' financial wellbeing. Government agencies around the world aim to improve financial capability by various measures. The US National Strategy for Financial Literacy recognizes that effective financial education "capitalizes on people's motivation" (US Financial Literacy and Education Commission, 2020: 20), while the UK Strategy for Financial Wellbeing 2020–2030 aims to promote regular savings and engagement with their long-term finances (Money & Pensions Service, 2020). In Australia, the National Financial Capability Strategy (2022) aims to improve people's engagement with financial decisions, motivation and confidence to manage their money. All of these strategies acknowledge the role engagement and motivation play in financial behavior. Yet, it is unclear how these factors may amplify or confound the effectiveness of financial wellbeing initiatives. Our findings suggest that effectiveness will largely depend on how well these initiatives capture the social context of their target audience.

This paper is structured as follows: Section 2 discusses the relevant literature in the field of financial behavior and financial literacy and provides a brief discourse of the theoretical concepts used in this research; we describe our research method in Section 3; followed by a summary of findings in Section 4; we present a discussion of how our findings contribute to the

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extant literature and offer practical implications in Section 5, before noting our concluding remarks in Section 6.

2 | LITERATURE REVIEW

A concerning aspect of young people's finances is their exposure to debt. In the US, for instance, Brown et al. (2016: 2491) report that young adults are heavily reliant on debt: "*Of twenty-five-year-olds in the FRBNY Consumer Credit Panel (CCP) in 2012, 79% held consumer debt. The average debt balance among all 2012 CCP twenty-five-year-olds was $22,911.*" Apart from the financial implications for the individual, financial debt in young adults is associated with criminal behavior (Hoeve et al., 2014). The reliance on debt may indicate that young adults are prone to overspending. Yet, data shows that they are spending less on discretionary items and face higher non-discretionary expenses, such as education and health, than previous generations. For example, in the setting of our study, Australia, the higher education loan program almost doubled in the past decade from AUD 35.5 billion in 2011/12 to AUD 104.2 billion in 2021/22 (Australian Taxation Office, 2022). Therefore, it is unsurprising to learn that their net wealth is lower compared to older generations (Lobaugh et al., 2019; Wood et al., 2019).

Young adults also seem to lack the financial skill to navigate higher debt levels and non-discretionary expenditure. Financial literacy is low among young adults (Lusardi et al., 2010). Low literacy is problematic as it might lead to errors in judgment (Anderson et al., 2017), risky borrowing such as the use of payday loans (Harvey, 2019; Xiao et al., 2011), lower wealth accumulation (van Rooij et al., 2012), and lower participation in the share market (Sivaramakrishnan et al., 2017; van Rooij et al., 2011). Norvilitis et al. (2006), for instance, report that young US college students' debt levels are associated with a lack of financial knowledge.

The co-occurrence of low financial literacy and poor financial outcomes has led to the proliferation of financial education programs worldwide. In the UK alone, the FSA evaluated over 70 financial education programs (Atkinson, 2008). In the US, 21 states mandate high school students to complete a course in personal finance (Council for Economic Education, 2020). Financial literacy is thought to promote financial well-being (see e.g., Braunstein & Welch, 2002; Remund, 2010) and while there is broad global evidence that financial literacy correlates with financial behaviors and attitudes to finance (e.g., Atkinson & Messy, 2012), overall, the academic evidence that financial literacy stimulates changes in financial behavior is, at best, mixed and casts doubt over the impact of financial literacy programs (see e.g., Agarwal et al., 2011; Australian Securities & Investments Commission, 2011; Mandell & Klein, 2009; Pahlevan Sharif et al., 2020). For instance, in a meta-analysis of 44 studies involving some 690 observed effect sizes, Santini et al. (2019) report no such relationship. Instead, they suggest that while financial literacy is associated with positive aspects of financial well-being (such as reduced credit card debt and better credit scores), it may be that behavior influences financial literacy (see also Atkinson & Messy, 2012) rather than vice versa.

Similarly, Fernandes et al. (2014) report that in their meta-analysis of 168 papers covering 201 studies, financial literacy interventions were only associated with 0.1% of the variation in financial behaviors, with that effect *decreasing* with income. Instead, measured financial literacy[2] had a much greater relationship, suggesting that education is not an effective predictor of financial literacy; something else matters. From a theoretical perspective, the role of financial literacy in changing financial behavior is also unclear. Among different theoretical approaches that have been applied in the financial literacy/financial behavior literature, we discerned two

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theories relevant to our study: the Theory of Planned Behavior (TPB) and the Family Financial Socialization Theory (FFS).

TPB posits that intention to perform a behavior correlates with three constructs: (1) attitude towards the behavior; (2) perceived social norms; and (3) perceived behavioral control (Ajzen & Fishbein, 2005). Together, the three constructs lead to behavioral intention formation. This intention is expected to result in actual behavior (depending on incentives and barriers surrounding an individual's perceived control over the behavior).

Substantial bodies of theory and research support the construct validity and predictive validity of the theory of planned behavior (see e.g., Armitage & Conner, 2001; Webb & Sheeran, 2006). On average, the models explains an estimated 39% of the variance in intention and 27% of the variance in behavior across various contexts (Armitage & Conner, 2001). While that result is impressive, TPB has proven to be domain specific as each domain may be characterized by substantially different attitudes, norms and control factor considerations. Thus, the degree to which these constructs explain financial habits may diverge from, for example, prior research in healthy eating habits.

The key link to our research agenda is provided by Danes et al. (2016) who suggest that financial literacy indirectly changes financial behavior through changing the beliefs underlying attitude, norms and control perceptions. Several studies have applied TPB to financial behavior: in retirement planning (Croy et al., 2010b;Croy et al., 2010a;Croy et al., 2012;Croy et al., 2015), in investing (Sivaramakrishnan et al., 2017) and financial well-being (Shim et al., 2009).

FFS theory provides an allied but different perspective. It extends TPB by proposing a conceptual model in which fundamental beliefs underlying attitude and perception of social norms and perceived control are integrated with demographic characteristics, family socialization processes, and traditional financial outcomes Gudmunson and Danes (2011). According to Danes (1994: 128), financial socialization is "*the process of acquiring and developing values, attitudes, standards, norms, knowledge, and behaviors that contribute to the financial viability and well-being of the individual*". FFS theory explains why parental socialization has a direct yet moderate effect on financial attitude and a mediated effect on young adults' saving strategies, investments and insurance outcomes (Jorgensen & Savla, 2010; Shim et al., 2010). Financial socialization at home and school positively affects the financial literacy of individuals in childhood and their financial behavior as adults (Grohmann et al., 2015; Sansone et al., 2019) providing a possible link between these socialization processes and financial literacy. We aim to gain an in-depth understanding of young adults' financial behavior by examining the association of social influences as proposed by FFS with the intrinsic constructs posited by TPB:

RQ1: *What factors influence financial habits and behavior of young adults*?

Even where financial literacy is associated with positive intentions, the practical implications are unclear. For instance, Santini et al. (2019) report that young adult financial literacy was not associated with spending less money on 'discretionary' items such as eating out or entertainment, nor were there any effects of literacy on other financial variables such as asset ownership or savings. It would seem logical that the increase in income associated with entering the full-time workforce may increase immediate gratification behaviors (e.g., discretionary spending) among young people rather than those associated with longer-term financial stability. If this sets up a pattern of behavior (or habit) for the individual related to poor financial well-being, the transition point becomes crucial to long-term financial health. Thus, we also seek to understand how a change in the external cue context may alter the relationship between young adults' intention to engage with finances, their financial confidence, and their financial behavior:

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RQ2: *What is the relationship between engagement with personal finances, subjective financial literacy, and financial habits of young adults entering the workforce*?

3 | METHOD

This exploratory study aims to offer broad insights into the formation of financial habits during a significant life transition. Specifically, it seeks to explain how external influences can shape individuals' perceptions about money and thereby impact financial outcomes facilitating or inhibiting behaviors during this transition. We sought to achieve this aim by interviewing 28 young people (21–31 years) who had recently entered the workforce (i.e., within the last 5 years) in half-hour-long interviews.[3]

The interviews were conducted by the authors of the study. Both authors were present at the first two interviews, while the remaining participants were independently interviewed by either the lead or the co-author. The researchers are aware that they may suffer from biased views on what constitutes healthy financial behavior, as they both are tenured academic staff, homeowners, and in stable relationships. In contrast to the co-author, who has extensive experience in conducting qualitative research but is only broadly familiar with the research area, the study forms part of the lead author's research areas in financial planning and behavioral finance. Thus, her research background may have also influenced her views going into this research. In an attempt to decouple the interpretation from any personal views that the authors might have brought to the research, the researchers conducted debriefing sessions at various stages during and after the data collection to exchange their impressions from the interviews and critically reflect on their interpretation of the responses.

3.1 | Sample

Since we were primarily interested in the adoption of or change in financial habits, we sought to understand better the life transition phase where a young person enters full-time employment. This transition is likely to be a fruitful period to research as it is associated with both significantly higher levels and certainty of income along with additional financial burdens as the individual takes on additional costs associated with establishing their complete independence.

We proceeded to construct a sample that reflected this transition period (Gliner et al., 2016; Miles & Huberman, 1994; Patton, 1990) by including participants if they were: (1) working full-time,[4] (2) aged between 18 and 30, and (3) had entered the full-time workforce within the last 5 years. Participants were based in Australia and recruited from: (1) current undergraduate and postgraduate students of the researchers, who also work full-time; (2) recently graduated alumni, who have entered the workforce full-time; and (3) the crowd-sourcing platform Prolific.

The sample comprises male (15) and female (13) respondents with an average age of 25.[5] The educational background of our participant pool is homogenous compared to the average Australian population: they are highly educated and have completed or were in the process of completing a university degree. Compared to 44.5% of the Australian population aged 25 to 34, 71.8% of our sample hold a bachelor's degree (Australian Bureau of Statistics, 2021).

Eleven of our participants entered the workforce in the last 12 months, five respondents reported work experience of one to 2 years. The remaining 12 participants had 3 to 5 years of

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work experience. Financial habits of recent full-time workers might be different from those 5 years into their careers. These differences are reflected in our sample with marked differences in relationship status and living situation. For example, there are more singles and individuals living at home at the start of their career compared to respondents who are further along. As expected, financial challenges build up around this transition phase, which helps to provide deeper insight into the angle of habit formation. A summary of the participants, including detail of their differences in living situation and social ties are provided in Table 1.

3.2 | Interviews

Interviews were semi structured. There were 14 "mandatory" questions dealing with key aspects of a participant's financial behavior including their key activities during the average week, who they sought financial advice from, how they managed their finances and their current financial habits.[6] We could then probe into interesting responses and themes emerging during the interview. This unstructured component of the interview allowed us to identify important but unforeseen themes and to better understand both the nuance of specific themes and the relationships between them. Each interview was conducted and digitally recorded via Zoom and transcribed. The interviews took place between May to November 2021 during the SARS-CoV-2 Delta/Omricon variant wave (third wave). All up, there were 16.1 h of interview data from 28 interviews. Interview transcripts averaged 4929 words per transcript and totaled 252 pages.

3.3 | Coding

Our approach followed the grounded theory tradition (Glaser & Strauss, 1967; Glaser & Strauss, 2017; Strauss & Corbin, 1997). Grounded theory is a systematic method for generating theory from data that has been collected through qualitative methods such as interviews, observations, and document analysis. The key principle of grounded theory is that theory emerges from data. Rather than commencing the research with a pre-existing theory to test, the researcher allows the data to guide theory development through a method of constant comparison between theory and data (Glaser & Strauss, 1967). Given its roots concentrate on the interpretation of the actors involved in the phenomena, it is particularly suited to developing theory around issues such as financial literacy and individual motivations for financial decision making when using multiple theories as we do here (Suddaby, 2006).

As Suddaby (2006: 634) notes, "A common misassumption is that grounded theory requires a researcher to enter the field without any knowledge of prior research." Instead, existing literature should inform the development of the theory along with the data, but not with a positivist hypothesis testing method. Thus, we entered the field with broad concepts in mind from our review of the literature (Suddaby, 2006). Codes were developed using an iterative process of constant comparison between data and theory (Charmaz & Belgrave, 2012) as the themes from our analysis emerged.

Coding had the dual objectives of (a) allowing coders to capture the most relevant features of the phenomena by trading off completeness and manageability and (b) to allow coders to reach a consensus. The coding was undertaken in several phases involving the authors and a research assistant. First, an initial coding regime was developed based on key concepts in the

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TABLE 1 Overview of participants

PARTICIPANT	GENDER	AGE	WORK EXPERIENCE	EDUCATION	RELATIONSHIP STATUS	LIVING SITUATION
Ali	M	24	<12 months	Bachelor	De facto	Parents
Bahia	F	23	<12 months	Masters	Single	Rent
Christie	F	25	3–5 years	Bachelor	Married	Mortgaged home
Dakota	F	24	<12 months	Bachelor	Single	Parents
Edward	M	25	1–2 years	Bachelor	Engaged	Mortgaged home
Finn	M	23	<12 months	Bachelor	Single	Parents
Gaby	F	23	3–5 years	High school	De facto	Rent with partner
Hayden*	M	23	<12 months	Bachelor	De facto	Rent with partner
Ian	M	23	1–2 years	Bachelor	Single	Parents
Jisoo	F	30	3–5 years	PhD	Single	Rent
Keith	M	21	<12 months	Bachelor	Single	Parents
Lehan	M	25	3–5 years	Bachelor	Single	Rent
Michael	M	26	3–5 years	Bachelor	Single	Mortgaged home
Nash	M	26	3–5 years	Bachelor	Married	Parents
Olive	F	29	3–5 years	Grad Dip	De facto	Mortgage home
Paku	M	28	3–5 years	Bachelor	Single	Rent
Quinn	F	30	1–2 years	PhD	Single	Rent
Rhoda	F	30	1–2 years	Masters	De facto	Rent with partner
Sadie	F	25	1–2 years	Bachelor	De facto	Rent with partner
Taylor	F	23	<12 months	Bachelor	Single	Parents
Udo	M	26	<12 months	Bachelor	De facto	Lives with extended family^
Vicky	F	26	3–5 years	PhD	De facto	Rent with partner
Will	M	29	3–5 years	Bachelor	De facto	Lives at partners' place^
Willow	F	22	3–5 years	Bachelor	De facto	Rents alone

(Continues)

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TABLE 1 (Continued)

PARTICIPANT	GENDER	AGE	WORK EXPERIENCE	EDUCATION	RELATIONSHIP STATUS	LIVING SITUATION
Yusuf	M	24	<12 months	Bachelor	De facto	Parents
Zaaba	F	23	<12 months	Masters	Single	Rent
Zack	M	25	3–5 years	Bachelor	Single	Parents
Zeke	M	22	<12 months	Bachelor	De facto	Parents

Note: Participant names changed to maintain anonymity. Online participants were able to identify as non-binary but none have elected to do so. *Hayden was the first participant to be interviewed. We decided to retain the data from the researchers' notes related to Hayden even though the recording did not work at the time. ^ Two participants who lived with family or at partners' place (Udo and Will) have both noted that they are currently transitioning into their own (mortgaged) home.

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TABLE 2 Overview of major themes

THEME	OCCURRENCES	EXPLANATION
Influence: Financial socialization		
Follows advice from "parental" role model	20	Parents are in most cases (16/20) the role model.
No or little discussion with friends	16	Most participants who discuss their finances with friends would not seek advice from their friends (8/12).
Partner influences financial decision-making	13	Frequent discussion with partners occurs in all cases with only one case relying on the partner for managing their finances. The remaining two participants plan or at least actively discuss their finances with their partners. Eight participants have shared accounts with their partners.
Relies on online forums and social media	12	The most frequent sources mentioned are: Barefoot investor, Reddit forums, YouTube and Fin Influencers on social media, e.g., "She is on the money"
Influence: Lived experience		
Experience(d) financial hardship	9	Most of the nine participants experienced financial hardship in childhood with only two participants with more recent experiences.
Relies on/access to family financial support	17	Mostly participants living at home or home of partner, who rely on their parents to cover living expenses. Seven participants that rely on their family as financial safety net have already moved out.
Perceived norms		
Observe poor spending habits in friends, family or themselves	17	Most respondents report unnecessary overspending in their circle of friends including 4 participants who fail to identify any of their own habits that they would like to change. Only 2 identify their own bad habits without consideration of others.
Consider credit cards and buy-now-pay-later as "bad debt"	7	
Put off by people's obsession with money	7	Most of the participants have some form of financial security (5/7). One participant takes into account ethical considerations, because "*money should be ethical and not about getting rich quickly*".
Attitude towards money		
Money is important to support lifestyle	13	Most of the participants are either single or rely on family as financial safety net (10/13).

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TABLE 2 (Continued)

THEME	OCCURRENCES	EXPLANATION
Money is important to fund "future self"	9	Four participants with serious romantic partners, the remaining participants either experienced significant financial hardship or are heavily influenced by their parents' role modeling. All (except of 2) in this category use a formalized budget.
Perceived control		
Perceive themselves as in control of finances	28	However, only 12 respondents can be considered as truly autonomous without any reliance on family support.
Average financial literacy score	6.4 out of 10	Only four participants consider themselves below average. In all of the below average cases, literacy is accurately assessed based on the researcher's perception about the individual's financial literacy and also indicates low confidence in dealing with finances.
Intentions		
Financial goal setting	13	Only 4 participants with clearly specified goals prefer money to support their current lifestyle (i.e., no future focus).
Financial habits		
Track expenses	26	Only two participants report that they do not tracking their expenditure at all.
Bucket system with dedicated savings amount	16	All participants, who prefer money to fund their future, use some sort of bucket system with a dedicated savings amount transferred across bank accounts
Formalized budget	10	All participants using a spreadsheet rate their financial satisfaction as above average.
Self-imposed spending limits	8	Participants who do not use a budget or bucket system manage their finances by setting themselves a spending limit and keeping track of their expenses via online banking.
Spending described as "frugal"	14	Participants describe their spending habits as frugal, "cheap" or "miserly" and often refer to strategies such as meal prep or shopping for the best deal.
Financial outcomes		
Investment in shares and property	21	Twelve out of these 21 participants reported non-trivial amounts invested in shares or property. Only 7 individuals responded as having no investments.

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TABLE 2 (Continued)

THEME	OCCURRENCES	EXPLANATION
Average financial satisfaction rating	7.3 out of 10	Only 1 respondent has reported low financial satisfaction. This respondent is currently experiencing financial stress.

Note: Table 2 provides a summary of the major themes emerging from axial coding. Occurrences measure the number of interviews in which the theme occurred. Average financial literacy and financial satisfaction across participants reported. Explanations provide additional detail and/or researchers' observations pertaining to the theme.

literature (Suddaby, 2006): Observed habits and outcomes; attitude and perception towards finances; influences of behavior. As part of this process, the lead author and a research assistant coded an interview separately and compared their coding, coming to a consensus on the areas of minor disagreement.

In the second phase, the research assistant coded the remaining 19 interviews iterating between the coding regime and data, adding in additional codes as they emerged and refining the detailed codes with the analysis of each transcript. This initial process produced 235 different codes.

For the third phase, this coding was reviewed by the lead author who moved to axial coding to reassemble the fractured data from the open coding (Williams & Moser, 2019) by connecting codes and assigning abstract names more reflective of the essence of the data. These categories and themes were further refined using a process of selective coding, whereby similar categories were consolidated and single incidences or categories with minimal evidence were removed from the analysis. For instance, the key code of "present vs future focus" emerged from the data over this process and was added to the original coding regime and theory development.

As themes developed it became clear when theoretical saturation was reached. Once no new insights were emerging, we determined that the information had been exhausted and that the coding process had ended (Charmaz & Belgrave, 2012). During the coding process the research assistant kept a self-reflexive journal where he described his main impressions of each interview. These corresponded with the reflections of the lead author on reading each interview and assessing the initial coding.

In the final phase of analysis, the authors aggregated codes and categories into overarching themes that reflected the core themes of the study that provided the foundations for the results and our conclusions.

4 | FINDINGS

We use the two-order approach (Kreiner et al., 2006; van Maanen, 1979) to present our findings. We use both first-order data (textual references from interviewees) and second-order data (the themes, constructs and relationships developed from the first-order data). This approach allows us to convey the ideas behind the basic codes in the participants' own words as well as to develop a holistic overview of the patterns discovered among the individual responses. By interweaving first and second order data in this section, we provide both the structure to explain our key implications while allowing for the thick description associated with qualitative work. In the interests of clarity and parsimony, we next preview the underlying theoretical foundations before moving to a more in-depth discussion.

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4.1 | Theoretical foundations of financial behavior

Using grounded theory (Glaser & Strauss, 1967; Glaser & Strauss, 2017; Strauss & Corbin, 1997; Suddaby, 2006) allowed us to develop a conceptual understanding that answered our core research questions in light of the collected data. We drew upon the Theory of Planned Behavior (TPB) and Family Financial Socialization (FFS). TPB allows us to isolate any divergence between cognitive aspect of financial behavior (e.g., the use of financial literacy and what participants thought they *should* do) with the unconscious (or at least fewer conscious aspects) aspects of behavior evident in terms of habits (and what participants actually *did*). FFS enables us to integrate socio-demographic aspects and financial socialization aspects.

4.2 | Reported financial satisfaction

Perhaps surprisingly, twenty-one (21) of our participants in our research scored their financial satisfaction above average including ten (10) participants considering their financial position very satisfying with two (2) of the participants completely satisfied with their financial situation. On closer examination, the 10 cases that reported a high satisfaction with their finances appeared to share a sense of pride in the systematic way they manage their finances in all cases associated with budgeting. This is best illustrated by Gaby who, when asked to rate her financial satisfaction on a scale from 0–10, responded:

> "*Yeah, I mean, honestly, at the moment, I'd have to give myself a nine because I've somehow managed to save so much this this year, which has been amazing. I feel completely in control.*"

Other themes of satisfaction common among these participants are that they: "*didn't really need to have to think about it and don't have to stress about it*" (Quinn); were satisfied with their level of spending (*frugality*)[7]; had enough money sometimes expressed as being *financially balanced* or *in control*. Almost all participants, except for two, would not score themselves as completely satisfied quoting that there is "*always room for improvement*" (Taylor). Eleven participants responded that their dissatisfaction stems from not earning enough income, with seven respondents wanting to change their financial habits to improve their financial situation, e.g., setting up a budget, spending less on discretionary items or investing more prudently. Some participants saw home ownership as key to financial satisfaction:

> "*So once I become a homeowner, I think I can confidently say that, you know, at that point, I'm setting life and all I have to do is just, you know, save money and invest and you know, retire early, hopefully*" (Yusuf)

Yet, for some participants the goal of home ownership also caused some level of frustration:

> *"There's just that extra bit where it's like you're saving for a house and the house prices are going up $100,000 every week, and you can't save $10,000 a week. So just the deposit gets pushed more and more because of extraneous circumstances. And obviously, I can't help. So, it's like we're saving as best as we can to have that stable environment. And it just isn't here yet. So, I guess that's my like, only gripe about my financial situation is that I can't save enough money to buy a house."* (Vicky)

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To better understand this general observation, we sought to uncover the actual behaviors associated with this generally positive sense of financial satisfaction.

4.3 | Observed financial behaviors

Three quarters of the young people we interviewed were saving money (21/28) and just over one third (10/28) used a budget to manage finances. In contrast, and just as interestingly, we found that all participants had taken some steps to protect their financial future by having sufficient funds to cover an emergency and most participants also have some experience with investments in e.g., exchange traded funds and microfinancing (20/28). A surprising aspect of our findings was that there is little use of personal loans, credit card debt, buy now pay later services, and so on. A few cases reported some form of debt from personal loans or credit cards, but these participants have either paid off the debt or were on the path of clearing the debt at the time the interview was taken. Only one participant admitted to being late on buy now pay later repayments in the past. This finding is potentially attributable to the difference of our sample compared to the general Australian population. According to Statista (2022), the national average personal debt is approximately AUD 45,000 for young adults aged 18 to 24. We also note a proportion of our participants have already purchased property (6/28) which is twice the national average of 10.4% of young adults aged 18 to 24 (Australian Bureau of Statistics, 2022).

While 17 participants we interviewed did not undertake traditional budgeting, they did engage in expense tracking and spending control behaviors that allowed them to build up emergency funds. All used some form of technology (online banking or an app) to monitor their finances with several reporting the ease and convenience of this approach. For instance, Finn used an "*App [...] you can see, like the breakdown of what you've spent and what you've saved for like the month and things like that so yeah it's pretty easy.*"

Eighteen participants monitor their bank balance at least weekly to regulate their finances. Without a formalized budget, eight participants reported setting spending limits like Dakota who was:

> "*trying to limit myself to $150 to $200 a fortnight [...]. That's including my [public transport card], because that expense is so low now. But just for you know, any eating out or anything, I'm trying to limit myself.*"

Another strategy was to manage expenses via the use of dedicated sub-accounts (bucket system) for specific purposes or categories of spending. For Keith that meant that

> "*So often, when I get paid, [into] my main accounts, I transfer money into my second halfway accounts. So that means I only have $1,000 in my [transaction] accounts, such as money I can access immediately just in case and then pretty much most of it goes to my savings accounts. So, anything above that $1,000 goes into there, so that I try to keep $1,000 at all times just in case of any unforeseen expenditures.*"

While these broad spending controls were widely reported, other more nuanced approaches such as earmarking funds for dedicated future expenses and shopping around for deals were also mentioned.

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4.4 | Influences of financial behaviors

While the participants reported that some form of peer pressure (fears of missing out and lifestyle propaganda on social media, for instance) could derail financial activities, there appears to be little (if any) active discussion of financial issues in peer groups (friends). Thus, Ali reported that "*... most of them, I think, are in the same boat, ... So, we just don't really talk about it that much"*. In concurrence, Udo stated "*Oh, no. They find it boring*." Why does little discussion occur? It seems that money matters are a private issue only discussed with family and close friends. Mostly the topic did not get much traction in the interviews, Paku revealed: "*So just a couple of cool close friends. Yeah. Yeah, I want to maintain the my, you know, my social image, you know?*" If anything, most participants (20/28) used their peers as a reference point for anchoring their expenses or investments rather than as a source of advice. Thus, Finn noted that "*...sometimes we're talking about it ... like how much they're paying for rent and what's reasonable and things like that."* From talking to our interviewees, we find that discussing finances with friends is not the social norm. Yet, it is not perceived as "taboo" as Sadie clarifies: *"...it's never really been like a taboo subject. I think it's just something it doesn't really come up as often*". Interestingly, only participants who do not systematically manage their finances are more open to discuss money matters with friends potentially as a way to inform their financial behavior. For example, Willow suggests:

> "*So, my two very close friends, we are investing at a similar level. And we're all at uni and we're all working. So, we're kind of on the same playing field. And so, we all joke about like having to live on pasta and noodles and stuff. So, it's, you know, that kind of camaraderie. So, we do talk about money*."

Family especially parents are a major influence on shaping the financial habits of our participants. Bahia, Hayden, Keith, Olive, and Taylor, for example, described their parents as "*habitual savers*" instilling their saving habits "*from a young age*". In other cases, where there appears to be a loose relationship to parents (i.e., children growing up with grandparents) or in case of a family breakdown, other members of their social network took up a role model function for our participants. Zaaba reflects:

> "*...we grew up with Granny, I kind of have that mentality of the generation where they're very careful as to what needs to be spent doesn't matter if it's emotional values or financial values. I think I've got it from them, definitely from them*."

There were exceptions, however. Six respondents did not talk about money in the family. Rhoda points out: *"I'm just not very comfortable discussing my finances with my mom or my dad or any family member."* No common financial habit or any similarities in the impact on their financial position due to a lack of parental guidance could be discerned.

A major financial socialization theme emerged from speaking to those interviewees in committed romantic relationships. In every case where a participant reported a serious life-partner, they also reported a much more intentional approach to managing their finances. Thus, Ali spoke how he and his girlfriend had:

> *definitely talked about it. And I guess I shared with her what I've learned about it. She has asked me to help her invest, like what like, essentially give advice on what to invest in things. And I've taught her a lot.*

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It seems that planning a future with someone else led to this change, with Gaby suggesting that "*I don't think if I was on my own, I would be thinking so far forward at all.*" Similarly, Nash responded when asked where his long-term financial goal of owning a house came from:

> "*I think it is more to do with my relationship. It's the housing market in Australia isn't great. And so, I had accepted before I did get into a relationship that my prospects of owning a home would be very slim. But now that I'm in a relationship, and [...] we're really looking to have that space that we can call our own*."

Delving deeper into the data, it seems that a committed relationship was associated with a fundamental change in participants' financial time horizons. Put simply, they started thinking about long term goals such as saving for a home (5 out of 6 participants who have purchased a dwelling are in a committed relationship). Single[8] participants rarely reported a specific long-term goal. Instead, they may have voiced loose aspirations, but they rarely specified time frames or detailed plans for achieving financial goals associated with long-term financial commitments. Most single participants (9/13) reported a relaxed attitude towards money with few articulated financial goals.[9] Thus, Bahia reported she "[has not] *thought about this [financial goals] much*" and while Dakota thought that "*the main sort of big one [i.e., goal] ... it's looming is getting my own place*" at the moment she did not "*have a deadline on that.*"

Just as the presence of a committed relationship seemed to influence participants' approach to managing their finances, so too did their experience of financial hardship. Gaby highlighted how her focus on financial independence sprang from "*a very long period of a lot of anxiety and stress around money*" but perhaps an exemplar of the relationship between financial hardship and financial behaviors was provided by Christie:

> *I grew up where we had no money and you know, there were times that we, you know, didn't have a roof over our head at sometimes, we were in between some shelters as well. We didn't have, you know, there were points that we would go a few days without food. So, growing up in that kind of environment, money and* ***making sure I have savings is key*** *[emphasis added].*

4.5 | Beliefs, attitudes and intentions

An important aspect of our research was to examine how observed influences can lead to the observed behavioral outcomes through unobserved psychological processes: the participants' personal beliefs, attitudes and intentions. In other words, we explore what *motivates* our subjects to engage in certain financial habits and the resultant financial outcomes The theory of planned behavior posits beliefs precede the intention to inform behavior. According to this theory, beliefs manifest in attitudes, perceived norms and perceived control within individuals. We explored these aspects of *motivation* when discussing the importance of money (attitude), evaluation of 'poor' behavior or 'bad' habits (perceived norms) and self-reported financial literacy (financial confidence). We also probed into the subjects' intentions by asking them about their financial goals.

As we have covered, some participants' goal formation is more specific than others: the relationship between the intention of 'saving for a specific goal' may be related to the respondents' relationship status. We find incidences of clearly specified goals, which were actively pursued

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by the respondents in nine cases. We suggest that this might have to do with a shift in financial time horizon. Evidence of this shift is gleaned from the individuals' perceived utility of money, or money attitude. When asked about the importance of money, respondents almost entirely agreed that money is important (except for two instances). However, participants either described the importance in terms of what we term 'current utility' or in terms of what we term 'future utility'. In other words, the ability to fund current activities or lifestyles versus the ability to provide for one's future self.

Participants split evenly into two camps: nine participants preferred using money for funding their current lifestyle, while nine participants preferred using money for their future. For example, Yusuf clearly sees a current utility in money stating: "*the only reason money is so important is because I just needed to, you know, fund my hobbies, and, you know, live my life*." Olive on the other hand described the future utility of money as follows: "*I am a very future oriented person. And I know that it's important for my future."*

What about the intention of avoiding poor habits? Apart for the intention to save up for a specific financial goal, we also find indications of debt avoidance as an intention motivated by what respondents perceived as 'bad debt' such as the use of credit cards or buy now pay later services (7/28). Quinn replied when the interviewer probed here about her reluctance to use buy-now-pay-later services: *"No, absolutely.* ***[...]*** *I believe that if I kind of looked like for me personally, if I can't afford something, I shouldn't be buying it."*. Keith shared a similar view: "*No. So yeah, so I sort of like, no, from how I've seen on [TV], that I'll never use a buy now pay later service because if you can't afford it now, then you shouldn't be buying it, as well as compound interest also works against you in terms of debt. So not doing that*."

Participants mostly did not report concerns with their discretionary spending habits, but they observed what they perceived as "*unnecessary*" or "*excessive*" overspending in their peers. Rarely, they admit to this form of spending in themselves and if so, it is only temporary as Nash explained:

> "*I would say the first two months when I entered the workforce, it was almost an extreme amount of spending, and then realizing I wasn't actually saving as much as I thought. So, it then pivoted quite quickly into trying to maximize my savings*."

Gaby observed forms of negative norms (FOMO - Fear of Missing Out) and associated marketing strategies that exploit FOMO can lead to poor financial decision making. She reported that:

> *It seems like, there is the big FOMO culture when it comes to marketing. So, the Big Pineapple Music Festival, we looked at going and there's just too much money, and there was only like a couple of Acts that we would have actually enjoyed. But the problem is, you don't have a lot of time to make these decisions. Because first of all it gets announced. Three days later, tickets are on sale, and three days and one hour later tickets are sold out.*

Poor spending behavior due to negative norms is perpetuated by '*ideal lifestyles*' presented on social media. Thus, Christie opined that:

> *I'm seeing people my age, they see these lifestyles that we all know it's crap on social media, but they're more than happy to get a credit card, get loans to kind of look like that [...]. I just find [it] absolutely crazy. Like who gets a credit card just to buy*

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designer clothes? Like that's crazy. [...] And they'll eventually regret it when they're a little bit older, I reckon.

We are somewhat cautious when interpreting the self-reports on spending behavior in our participants due to inconsistencies in their recollection of spending behaviors might not represent actual experienced spending behavior. For instance, they would observe significant poor spending decisions in others – for instance Taylor noted that she has:

"*Friends that are like: "I've got no money, I'm so broke." And I know they work a lot. But I also know that they buy $1,800 bags, so like, like a Louis Vuitton bag or like, that sort of thing. And I know for a fact, like they've worked a lot. But they also don't put any of their money away or like friends that just seem to never have any money because they just keep buying themselves things. And I know that they don't have money, because then they're like: "Oh, I'm sorry, I can't do this." But like I said, they'll buy themselves some designer things or like, yeah, just constantly buying themselves new things.*"

While they did not report similar patterns in their own behavior, upon probing they would often identify poor financial habits such as impulse shopping, excess takeaway (incl. coffee) and eating out; going out on the weekend; over-using Uber and consuming alcohol. This suggests we should be conscious of self-serving bias and similar effects influencing responses.

When it comes to perceived control and financial autonomy, virtually all participants responded of being in control of their finances. Perceived autonomy played a part in this evaluation but cannot explain why all participants are confident in their ability to control their finances, as there is evidence of dependencies on family support and outsourcing the managing of finances to either the partner or a financial adviser. Trying to approach perceived control from a confidence in one's financial knowledge angle, we asked our respondents to rate their financial literacy on a scale of 1 very poor to 10 excellent. Most our participants reported their financial literacy slight above average (i.e., 14 participants rated their financial literacy 6 or 7) with nine participants considering themselves as very literate (8 and above). Only five participants admitted to none or little financial literacy (5 or below).[10] Yet, this clustering of self-rated financial literacy was not reflected in their reported habits or financial outcomes. We find varied behaviors in all three literacy brackets.

Since our research interest lay in understanding the financial habits of young people entering the workforce, we sought to better understand how their behaviors had changed during this transition. Given the variations in work experience present in our sample, environmental changes (such as access to more disposable income) during this transitional period may be an opportunity to examine the interplay between intentions and actual behavior. We asked participants to reflect on any changes in their behaviors during this period, as well as any intentions they may have had to change their behaviors over time. As might be expected, participants reported this period of life involved multiple major changes associated with growing independence that catalyzed a change in financial behavior. These factors were often associated with conflicting forces on the participants - for instance, the reported difficulty in saving when moving out of home versus the greater latitude associated with working full-time as Will put it:

"*But when I moved out and started working, then all the expenses have sort of arisen. So, with a bit more disposable income, I'm probably spending more money going and eating out*"

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While there was great variation in the timing and relative importance of the catalysts, a clear trend emerged in that those respondents with full time work felt less constrained in spending. As Edward reported:

> *When I was a student, I was extremely frugal with all purchase decisions. So, I think, since starting full-time work, I've become a little bit more liberated in my purchase decisions, just because I had a little more financial freedom, just because there's more cash flow. So that would probably be the biggest change, it took a long time to sort of transition out of a mindset of scarcity into sort of a mindset where I could actually start to start and still make considered choices. But I actually had those options available to me. So, I could actually make use of various things that I previously just wouldn't have.*

Participants recognized the importance of managing their finances and a gap between what they needed to do and their actual behavior. Thus, several participants reported they regretted "*not being on top of income and expenses*" (13/28), "*not having any investments*" (8/28) or "*not managing their investments better*" (18/28). Eight of the 13 participants who admitted a desire to better manage their income and expenses had identified a specific financial habit they wanted to break. Participants who recognized they might need to improve their financial habits appeared to lack impetus or faced countervailing motivations. Willow, for instance, tried to break her "*unfortunate relationship with Uber*."

> "*I deleted the app once for 24 hours. And don't worry, it was reinstalled straightaway. So, look, I just, I'm really not a morning person*."

Importantly, these impediments to changing financial habits associated with spending and income were **not** associated with perceived control or financial literacy. They were motivational in character. Can an individual's sense of financial confidence affect financial behavior at all? We find incidences of a lack of financial confidence credited to "*knowing little about this space*" was the key reported reason for refraining from investing. Eight participants did not invest. Participants said that "*... there's so much to like, look into considering things. It's actually made me a bit scared to even like, sort of step into it*" (Ali).

Even those who had funds saved were not sure what to do with it. Bahia reflected that

> "*I just have this money in my account. And it's just, it's just there. Yeah, yeah. Because, yeah, I feel like I could invest it. But I am not sure if I'm ready to take up that risk that comes along with investing in stock markets*."

Even those actively planning to invest reported that a lack of knowledge was a crucial factor in not moving forward. As Gaby stated:

> "*And so, I've been putting off more and more doing it like we haven't, we're talking about investments in the new financial year using some of our tax return to add to that to that investment portfolio. But the actual thought of purchasing the shares is terrifying because I just don't understand that enough*."

In summary, while there was a substantial consistency in self-reported financial literacy, there was a wide variability in the reported behaviors of our participants. Specifically, participants

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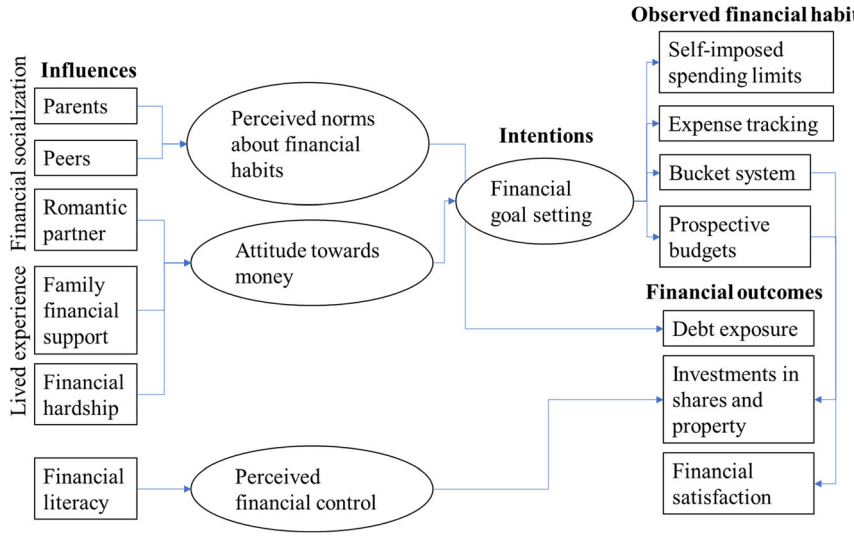

FIGURE 1 Conceptual overview of findings.
(Figure 1 illustrates the relationships between the major themes that emerged from the analysis. The overview shows how young adults' socialization context and lived experience influence money attitudes and perceived financial norms, which are instrumental in financial habit formation. Subjective financial literacy instills a sense of perceived financial control to enable event-like financial behavior)

reported a wide variability in their interest in longer-term financial goals based on their relationship status motivated by a shift from a present to a future preference for money. Similarly, participants who had experienced financial stress (either individually or in their immediate family) exhibited a preference for a future utility in money focused on building financial stability or security in the future. In most instances, a combination of these factors was associated with formalized budgets, which in turn led to evidence of non-trivial investments in the share and property market. Participants who can rely on family for financial support e.g., to cover expenses while living at home, or who have no romantic partner exhibit a preference for the present utility of money resulting in a relaxed approach to money. They mainly track spending rather than actively planning spending ahead without any experience in investing. Exceptions exists but there are indications that in these instances parental influence plays a major determinant in their more prudent approach to money.

5 | DISCUSSION AND IMPLICATIONS

Perhaps the most insightful finding of our research relates to financial socialization. Our respondents report two major financial socialization influences: their parents and their romantic partners. Parents function as role models purveying socially acceptable financial behavior. In the conceptual overview of our findings (Figure 1), we therefore propose a direct link from parents' influence to perceived norms mediating financial behavior intentions and subsequent financial behavior such as debt avoidance. This finding confirms prior research on parents' influence on adolescents' and young adults' financial behavior (Danes et al., 2016; Shim et al., 2010). Contrary to our expectations, changes in financial circumstance (i.e., access to stable income, increased

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financial autonomy) do not act as catalyst for changes in financial behavior. Rather, entering a committed romantic partnership changes young adults' attitude towards money.

We observed that research participants in a romantic partnership as more focused on their future. This future focus motivates them to engage more with their finances, which manifests itself in the form of explicit goal setting, the use of formal budgets or adherence to strict bucket systems. This insight aligns with Howlett et al. (2008) who find that future orientation leads to greater likelihood of retirement planning. This finding can also offer interesting implications about how policy makers might approach present bias, which is the *tendency to focus more on the present than the future* (Ainslie, 2001; Gabaix & Laibson, 2006; Laibson, 1997; Loewenstein & Elster, 1992) – associated with poor financial outcomes such as credit card debt (Meier & Sprenger, 2010). In retirement planning, one potential solution to alleviate hyperbolic discounting of future rewards is the presentation of personalized retirement income projections (Dolls et al., 2018; Goda et al., 2014; Goldstein et al., 2016; Smyrnis et al., 2019).

Hershfield et al. (2011) speculates that present bias may stem from the inability to connect to one's future self. They demonstrate that participants who interact with their future selves in a virtual reality experiment have a greater propensity to forgo present monetary rewards in exchange for future ones. Our conceptual path suggests that goal setting needs to be properly motivated to work: interventions could tap into the anticipatory socialization process of young adults by asking them to formalize goals while visualizing/narrating the financial needs of a shared future with their partner in a way that translates future financial needs into present values (Goldstein et al., 2016). This can be in form of a gap analysis to show how current spending affects future lifestyle outcomes. A lack of motivation might explain why: (1) in a quasi-experiment, in which users of a FinTech app could set themselves saving goals, only 30% of these goals were met (Gargano & Rossi, 2020); (2) in an intervention designed to improve childcare cooks implementation of nutritional guidelines, a checklist supplemented with educational materials was associated with an intention to use the guidelines, but no change in the actual nutritional value of the food served (Yoong et al., 2016).

A major motivation for our study was the rise in debt-related services such as Afterpay. Only a few participants reported encountered difficulties in relation to consumer debt in the form of: (i) debt from a failed investment (*Paku*); (ii) large past credit card debt (*Taylor*); (iii) being late on Afterpay payments (*Sadie*). Yet, regardless of having been exposed to debt or expressing regret in not properly managing their finances, all participants reported *feeling in financial control*. Credit card debt or the use of Afterpay was perceived as undesirable - a norm instilled by parents and the media. The lack of evidence of poor credit use may reflect the financial socialization effect parents had on their upbringing. Given that our sample potentially suffers from self-selection bias, we cannot draw any major conclusion from this insight.

While none of our participants exhibited any signs of financial stress at the time of the interview, past experience of financial hardship was a second major influence on engagement with finances participants reported. Participants who had personally experienced financial hardship (either personally or as part of their childhood) reported exercising greater control over their finances. Our study points out that experienced financial hardship might lead to greater financial self-efficacy.[11] Indeed, financial self-efficacy has been shown to fully mediated the relationship between objective financial knowledge and retirement and emergency savings behavior (Rothwell et al., 2016). Perhaps financial coaching programs like the Boston Youth Credit Building Initiative studied in Modestino et al. (2019) hold the greatest value for young adults from low socio-economic backgrounds – as the lived experience of financial hardship will act as strong motivator. However, such programs might prove costly and less effective compared to incentivizing behavior through monetary rewards (Cole et al., 2011).

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Most strikingly subjective financial literacy does not appear to play a major role in day-to-day engagement with finances for the young adults who participated in this research. Instead, our key insight is that motivation rather than literacy is the main driver of engagement with finances in this cohort. Translating motivation into action, however, might be impeded by lack of subjective financial literacy in event-like financial transactions such as entering the stock market or taking on debt. For example, our participants reported that a lack of knowledge about investing inhibited their willingness to engage in investing. A lack of confidence in perceived knowledge may inhibit financial behavior, but financial confidence by itself will not enable financial behavior without motivation.

These findings may reconcile why studies find mixed evidence of the effectiveness of financial education programs (see e.g., Fernandes et al., 2014; Hastings et al., 2013; Mandell & Klein, 2009). Extensive reviews of the field, for example, suggest that the relationship between financial education and financial outcomes from randomized or natural experiments, *"[...] is at best mixed ... [and there] is even less evidence on whether financial education is cost-effective"* (Hastings et al., 2013: 361). Specifically, we find evidence that individuals with a preference for future utility are willing to invest more time and effort in engaging with their finances compared to impatient individuals with lower discount rates, who see less benefit in delayed returns (Meier & Sprenger, 2010; Meier & Sprenger, 2013).

Our findings suggest that financial habits are, to an extent, externally cued by the transition into the workforce, as access to more income may promote more spending. However, we also observe effective spending restraints in place, where young adults are motivated to focus on long-term outcomes as a result of being in a committed romantic relationship, i.e., they experience a change to their social context.

"Nudges" or low-cost interventions such Save More Tomorrow (Smart) program trialed by Thaler and Benartzi (2004)[12] that promote automatic saving plans or spending limits will work well for single young individuals, whose money attitude have not yet shifted from a present to a future focus. The effectiveness of such interventions is further supported by the fact that participants are already using basic approaches to managing their finances that could be considered established financial habits that afford little to no cognitive load: expense tracking and transferring money across accounts in the form of a bucket system.

In contrast, young adults in serious romantic relationships or who experienced financial hardship are likely to be more receptive to financial education. For example, young couples could be a prime target group for literacy education or coaching programs as envisaged by the US Financial Literacy and Education Commission (2020). Alternatively, targeted financial health promotion campaigns can achieve an "*attitudinal change towards long-term savings*" (Money & Pensions Service, 2020:, p. 32). Policymakers could leverage existing platforms such as mymoney.gov or moneysmart.com.au to assist young adults in navigating financial challenges that may arise during this dynamic stage of their lives thereby promoting good financial habits such as regular savings to achieve their long-term financial goals. These campaigns could also be effective in raising awareness of the risks and benefits of engaging in financial innovations such as buy-now-pay-later services, cryptocurrencies, and micro-investing.

6 | CONCLUSION

To promote financial security for young adults, we examined their engagement with their finances and explored the role of financial socialization, motivation and financial literacy in

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affecting their behavior in semi-structured interviews. Perhaps the major limitation of this study is the purposeful sampling approach and consequent participant pool in this research. We were surprised that few participants reported using personal debt in the results, particularly in light of other reports of high credit card usage in student populations (see e.g., Brown et al., 2016). It may indicate a lack of willingness or interest for those with debt or poor habits to engage in this kind of research. Our recruitment through a university setting and using on-line methods may have further exacerbated the limited representation issue present in our study. Care should be taken in generalizing our findings to a broader context. Future research may explore how attitudes, intentions and beliefs differ for individuals with poor financial habits or large outstanding debt. Nonetheless, our findings reveal that the attitude towards money of young adults shifts when entering a committed relationship attesting to the dynamic nature of financial socialization. Future evidence is required to validate this relationship and then build on understanding how to develop interventions that leverage this relationship.

Policymakers and consumer advocate groups might consider public financial health communication campaigns to promote healthy financial behavior and raise financial awareness. Often, planners of public health communication campaigns must consider pre-existing beliefs and attitudes as well as barriers to change in guiding the development of message content (Snyder, 2007). Our paper could help inform a public financial health communication campaign designed to demystify long-term financial decisions for young couples.

While there was no apparent relationship between subjective financial literacy and spending behavior, our participants, who lack confidence to invest their money expressed their frustration with the complexity of financial investments suggesting a lack of comprehension. Thus, a financial health communication campaign may be relevant in improving confidence in deliberate financial decision-making contexts. Yet, a key question remains: does an increase in financial confidence stimulate the financial behavior, or is it motivation to save/invest that stimulates both?

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ENDNOTES

[1] Our measure of financial literacy is self-assessed. We acknowledge that the correlation between self-assessed and objective measures of financial literacy is modest at best (Gignac, 2022; Parker et al., 2012). As such, it might be reflective of the subject's financial knowledge and their financial confidence (Lind et al., 2020). Research has shown that subjective financial literacy can be a better predictor of financial behavior (see e.g., Anderson et al., 2017; Lind et al., 2020; Robb & Woodyard, 2011; Xiao et al., 2011; Xiao et al., 2014)

[2] Measured financial literacy here refers to the use of financial literacy scores (subjective or objective) in association studies, such as cross-sectional or longitudinal surveys.

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[3] This research project meets the requirements of the National Statement on Ethical Conduct in Human Research (2007) and has been granted ethics approval by the authors' institution.

[4] There were five participants who worked across multiple jobs. We chose to retain these participants as their working hours totaled 40+ across the different jobs.

[5] Ages ranged from 21 to 31. We decided to retain the one participant over the age of 30 as the age difference was not substantial.

[6] The complete interview protocol is viewable in online Appendix A.

[7] We note that a surprisingly large proportion of participants consider their spending to be frugal (14/28). A potential driver for this observation could be that their spending was affected by the Covid pandemic limiting their discretionary spending. For example, Dakota and Michael noted that they spent less on transportation costs, because they were mostly working from home. Lehan and Puteri reported lower discretionary spending because of the pandemic. Lehan was going out less often compared to before the lockdown, while Puteri used to travel quite frequently for leisure pre-COVID.

[8] By single we mean participants without an identified committed partner.

[9] Only five of our participants, who were in a relationship, displayed a relaxed attitude towards money. These participants were younger compared to the group average and/or in a less committed relationship. For example, they have not yet moved in with their partners. This observation may indicate that money attitudes evolve with the maturation of individuals and their relationships.

[10] Subjective financial literacy for men ($\Delta = 6.8$) is slightly higher than for women ($\Delta = 6.0$). However, the difference is not statistically significant ($t = 1.1614$; $p = 0.2565$). This finding contradicts prior research documenting gender differences in (subjective or objective) financial literacy (see e.g., Bucher-Koenen et al., 2017; Chen & Volpe, 2002; de Bassa Scheresberg, 2013; Lind et al., 2020). Our failure to detect a significant difference could be due to several reasons. First, because our study is qualitative in nature our sample size is small compared to previous studies in the field. Second, our participant pool is homogenous (i.e., university graduates with a maximum working experience of 5 years). Our finding, however, offers prefatory support for the proposition by Fonseca et al. (2012): gender differences in financial literacy may disappear with equal education achievements as financial decision-making should be approximately equal by gender. However, further research is required to validate this point.

[11] Self-efficacy is defined as a sense of self agency, the ability to succeed at a given task. Self-efficacy has been related to motivation, self-confidence and general life optimism (Bandura, 1994, 2006).

[12] The program, which ran at three different corporations across the US, allowed employees to commit a proportion of their future salary after receiving a pay increase towards their retirement savings with the option to withdraw at any time. The program was effective with 80% of the participants remaining the program.

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Additional supporting information can be found online in the Supporting Information section at the end of this article.

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